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National Company Law Tribunal (NCLT)

Polity Notes for UPSC Exam

In India, the National Company Law Tribunal is a quasi-judicial organization. It is tasked with handling cases concerning Indian businesses. The tribunal was created by the government of India on 1 June 2016 under the Firms Act 2013 and is based on the proposal of the V. Balakrishna Eradi committee on legislation pertaining to insolvency and the winding up of companies.

The Central government formed the National Company Law Tribunal in 2016. It was established under Section 408 of the Companies Act of 2013.

The National Company Law Tribunal, which succeeded the Company Law Board, was established as a quasi-judicial authority to oversee businesses incorporated in India.

In this article, we will examine in depth at the National Company Law Tribunal, its functions, and its powers. This topic of UPSC Polity is essential for both the UPSC Prelims and Mains Exams.

National Company Law Tribunal (NCLT), 2013

- National Company Law Tribunal (NCLT) is a quasi-judicial organisation established to oversee businesses formed under the Companies Act of 2013.
- The Tribunal shall hear all procedures under the Companies Act, including arbitration, agreements, compromise, reconstruction, and winding up of the business.
- It is the Company Law Board's successor entity. It is based on the Justice Erandi Committee's recommendations for insolvency and company winding up.
- Under the Insolvency and Bankruptcy Code, 2016, the NCLT also serves as the Adjudicating Authority for insolvency proceedings.
- No civil court will have jurisdiction over the aforementioned issues.
- When the NCLT grants an insolvency petition under the IBC, 2016, the case cannot be dismissed, even if the payment agrees to settle. However, the Supreme Court authorized it by citing Art. 142.

- If the company cannot or has not convened an Annual General Meeting as required by the Companies Act, or an Extraordinary General Meeting as required by the Companies Act, the Tribunal has the authority to summon a General Meeting.
- The authority to change the fiscal year of a corporation established in India.

National Company Law Tribunal (NCLT) Functions

- The NCLT has jurisdiction over cases before the Board for Industrial and Financial Reconstruction (BIFR) and cases under the Sick Industrial Companies (Special Provisions) Act of 1985.
- Power to offer investors relief from a wide range of unlawful conduct done by corporate management or other consultants and advisers affiliated with the company.
- Depositors who are dissatisfied with the company's conduct or omissions that have harmed their rights as depositors can seek recourse through class lawsuits.
- Powers to instruct the firm to reopen its accounts or to enable the company to modify its financial statements but not to allow the company to reopen its accounts.
- The firm may also apply to the Tribunal for a modification of its financial statements through its director.
- The authority to investigate or to initiate an inquiry. An investigation can be carried out anywhere in the world.
- Provisions are made to help foreign nations' investigation agencies and courts with their inquiry processes.

Powers of National Company Law Tribunal

- It can take over the cases pending before the Appellate Authority for Industrial and Financial Reconstruction.
- It can also take on cases of corporate persecutors and mismanagement.
- It has the authority to request the aid of the Chief Metropolitan Magistrate.
- It can deregister companies.
- It can order de-registration of businesses in specific instances where company registration is obtained illegally or incorrectly.
- It has the power to hear complaints against businesses' refusals to transfer securities and to correct the register of members.
- It gives protection of diverse stakeholders' interests, particularly non-promoter shareholders and depositors.

Benefits of the National Company Law Tribunal

- The NCLT is a specialist court that solely hears cases involving Corporates, or Indian-registered businesses.
- This will just be a Tribunal for Corporate Members.
- The NCLT will minimize the number of lawsuits filed in various forums and courts.
- NCLT has various branches and may offer justice at a distance.
- When making decisions, the NCLT includes both judicial and technical experts.
- The time it takes to dissolve a corporation is decreased.
- Cases that are resolved quickly will assist to minimize the number of cases.
- The NCLT and NCLAT have exclusive jurisdiction.

National Company Law Appellate Tribunal (NCLAT)

- On June 1, 2016, the National Company Law Appellate Tribunal (NCLAT) was established.
- It was established in accordance with Section 410 of the Companies Act of 2013. Its purpose is to consider appeals from decisions of the National Company Law Tribunal(s) (NCLT).
- NCLAT also serves as the Appellate Tribunal for appeals against NCLT(s) decisions. As of December 1, 2016, it was created under Section 61 of the Insolvency and Bankruptcy Code, 2016. (IBC).
- Section 410 of the Companies Act of 2013 established the NCLAT. Its mission is to consider appeals from decisions of the National Company Law Tribunal (NCLT).
- Any individual who is dissatisfied with an NCLAT order may seek an appeal with the Supreme Court.

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Characteristics of NCLAT

- Under Sections 202 and 211 of the IBC, the NCLAT also serves as the Appellate Tribunal for judgments issued by the Insolvency and Bankruptcy Board of India.
- The NCLAT is also the Appellate Tribunal to hear and dispose of appeals against any directive issued, judgement taken, or order passed by the Competition Commission of India (CCI).
- The Ministry of Corporate Affairs established eleven Benches in the first phase, one Principal Bench in New Delhi and 10 Benches in New Delhi, Ahmadabad, Allahabad, Bengaluru, Chandigarh, Chennai, Gauhati, Hyderabad, Kolkata, and Mumbai.

- At various locations, these Benches were led by the President, 16 Judicial Members, and 09 Technical Members. More members have now joined, and benches have been established in Cuttack, Jaipur, Kochi, Amravati, and Indore.

NCLAT Recent Developments

- The NCLAT decided in 2016 that Cyrus Pallonji Mistry's removal as Executive Chairman of Tata Sons was illegal.
- The Tribunal has overturned a July 2017 judgement of the Mumbai bench of the National Company Law Tribunal (NCLT) that supported Mistry's dismissal.
- The NCLAT also ruled that the Registrar of Companies' change of 'Tata Sons Limited' from 'Public Company' to 'Private Company' was unlawful.
- It stated that the decision to go private was 'prejudicial' and 'oppressive' to the minority shareholders.
- Minority shareholders will be empowered by the NCLAT ruling, and Independent Directors will be forced to take their concerns more seriously.

Study Important Articles of the Constitution of India here.

The UPSC civil services examinations include a Topic on National Company Law Tribunal (NCLT) in the Syllabus of Polity section. Testbook is an online learning platform that can be used to prepare for any competitive exam. Participants in live coaching sessions, current affairs sessions, and exams available on our Testbook App can enhance their preparedness. It's time to download the Testbook App! Download Now!